

instead move higher (I conducted a study to determine this). Once price closes below the breakout price, sell your shares or consider shorting the stock. However, the decline after many double tops isn't big, so I don't recommend going short (or in many cases, selling a long holding).

Trade with market trend. If you own shares in a bull market, look for underlying support and see if you can tolerate a loss to that level. With the bull market powering price upward, the downturn may be minor. In a bear market, that is the time to short a stock showing a double top. Trade with the market trend for best results.

Check others in the industry. If other stocks in the same industry are showing weakness (moving down or forming bearish chart patterns), then consider selling your stock. You might even want to sell before the breakout, but in a bull market, that may leave profits on the table when the price recovers before confirmation. In a bear market, it is a safer bet. Remember, you never go broke taking a profit.

Stop location. [Table 31.7](#) gives the probabilities of a stock reaching one of the stop locations as price seeks to find the ultimate low. Consult the table for guidance.

Busted trade. In [Table 31.9](#), I said that single busted Adam & Eve double tops outperformed the non-busted double bottom. Because a busted double top is easy to spot, you might consider going long after one appears. Look for overhead resistance and underlying support to help determine if the pattern will single bust (good luck with that).

Tips. Let's pretend that I enjoy shorting stocks. Here are some tips to make your life easier. In the first series of tips, look for a strong push upward leading to the Adam top, not a trend that meanders and rollercoasters for months before forming the double top.

When I write of a *knot*, [Figure 31.5](#) shows an example of what I'm blabbering about. You'll see it at I, circled in the figure. Price moves sideways for at least 3 days with lots of price overlap. It's in the line of trend leading up to the Adam peak, and it's the closest support knot below confirmation. That's the target. Price at A almost reaches that knot and reverses.